

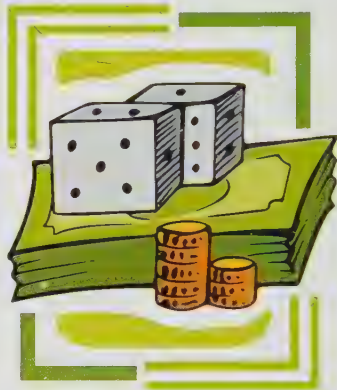
Asset Allocation: Where to Put Your Investment Dollars

Asset allocation, being the distribution of your investment portfolio across different types of assets (known as “asset classes”), is not meant to be something that changes with the markets. In fact, it’s quite the opposite: A properly allocated portfolio is meant to weather both good markets and bad; to allow you to rest assured that your investments will reach your ultimate goals of what you need the money for without actively moving the money around.

The effects of proper asset allocation are not to be underestimated; the vast majority of your long-term returns are attributed to asset allocation—not market timing or selecting specific investments, as you might suspect.

But achieving the right asset allocation can be like groping around

in the dark (and not in a fun kind of way!) if you don’t know where to begin. This article will help you to determine the proper asset allocation for your money. But first, here are some definitions of the different types of asset classes.



DIFFERENT TYPES OF ASSET CLASSES

1. Cash

Despite its name, this allocation is not a license to hide money under your pillow! Cash investments include savings and money market accounts—ones that won’t make you a ton of money, but that are guaranteed and will likely keep pace with inflation.

2. Fixed income

These are mostly interest-bearing investments, and sometimes guaranteed